

Micron Technology (MU)

Investment Thesis

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Recommendation: **BUY** | Sector: Semiconductors (Memory)

The Setup

Within a peer set of ten major semiconductor companies (AMD, NVDA, INTC, QCOM, AVGO, TXN, MU, ON, MRVL, ADI), a relative valuation screen, which combines trailing P/E, EV/EBITDA, and Price/Book into a peer-relative composite score, ranks Micron among the **cheapest** stocks in the group (composite z-score: **-0.48**), despite Micron having by far the strongest fundamentals in the entire peer set:

Metric	Micron	Context
Revenue Growth (YoY)	345.7%	Highest in peer set by a wide margin.
Profit Margin	55.9%	Second highest in peer set.
Composite Valuation Z-score	-0.48	4th cheapest of 9 peers

This is the anomaly at the heart of the thesis: a company posting the best growth and near-best profitability in its sector is trading at a below-average multiple relative to peers growing far slower.

Why this gap exists

Micron's numbers are being driven by high-bandwidth memory (HBM), a specialized chip mounted directly beside AI accelerators like Nvidia's GPUs. Only three companies in the world manufacture HBM at scale, and Micron is one of them. Demand from AI data center buildouts currently outstrips supply by a wide margin.

The results have been extreme, even by growth-stock standards. Fiscal Q3 2026 revenue reached \$41.5 billion, up 346% year-over-year. Net income rose 205% year-over-year to \$28.2 billion. Data center revenue now makes up more than 56% of total company sales, a mix shift that gives Micron a level of earnings visibility rarely seen in the memory industry. The company's entire 2026 HBM production is already sold out under fixed-price contracts, which shields near-term earnings from the boom-bust pricing swings that have defined memory stocks for decades.

Despite this, Micron's valuation looks very different depending on which earnings base you use. The stock trades at roughly 44x trailing earnings, but its forward P/E sits below 9x. The market is pricing in a large jump in near-term earnings, but hasn't yet re-rated the stock's multiple to reflect that jump as durable.

The Bull Case

If AI infrastructure spending stays elevated (hyperscalers have reportedly earmarked over \$725 billion in AI data center capex for 2026 alone), Micron's below-peer multiple looks like a genuine mispricing rather than a value trap, despite the company's sector-leading growth and margins. The size and duration of its contracted, fixed-price HBM revenue, already sold out through year-end, gives this cycle a margin of safety that previous memory upcycles never had, since pricing in those cycles typically moved with no visibility at all. If the market becomes convinced this earnings power is structural rather than a cyclical spike, a re-rating toward peer-average multiples alone would imply substantial upside from current levels.

The Bear Case

Memory has historically been a brutal boom-bust industry. The real question isn't whether AI demand is genuine. It's whether the memory market stays tight long enough to justify Micron's capital investment, reported at over \$100 billion in fab commitments, before competitors like Samsung and SK Hynix expand supply and push prices back down. If that happens, today's extraordinary trailing earnings could turn out to be a cyclical peak rather than a new baseline, which would make the current "cheap" multiple look justified all along rather than a bargain.

Conclusion

Micron screens as undervalued relative to its peers under a methodology that rewards growth and margin quality. The gap is explainable by a real, current, and well-documented story: HBM scarcity, contracted revenue, and rising AI capex. It isn't a data artifact. The main risk here is how long the cycle lasts, not whether current demand is real. This is a bet on the duration of the current supply-demand imbalance in AI memory, not a bet on whether AI investment itself holds up.

Key limitation of this methodology: trailing multiples are a blunt tool for a company in the middle of an inflection. Micron's trailing P/E probably understates how expensive the stock could look if the cycle turns, in the same way it currently understates how cheap it looks against the forward earnings already baked into analyst estimates. A fuller analysis would use forward-looking scenario sensitivity instead of relying on trailing multiples at a single point in time.